Our Quant Process

How a trading idea becomes a live bot, in plain English. Vanessa & Claude, agreed 14 October 2026.

The goal: a portfolio of trading bots that pays an income through prop firms, built the way a professional quant desk works, but sized for one person's time. Every new idea (traders' playbooks, Market Wizards, research papers, or the strategy factory) goes through the same steps. A live bot is never edited; changes go back through the steps as a new version.

Our current bots are "grandfathered". The NAS100 bot and Daily Systems went live before this process was written. They are not re-tested; they are judged on their live results in the monthly review, which is the truest test there is.

The 8 steps

1 Write the idea down first

- **Why should it make money?** One sentence. For example: big funds rebalance at month end, or traders panic after a sharp fall. If there is no sensible reason, we don't build it.
- Write the exact rules and what counts as a pass **before** seeing any results, so we can't bend them afterwards.

2 Test it on past prices, honestly

- Include every cost: spread, commission and overnight fees.
- No flattering assumptions about fills. If a limit order would have been filled and stopped out in the same candle, it counts as a loss (this is what exposed the Deni and Omar strategies).
- Build it on older data, and keep the most recent 2–3 years hidden for one final check.
- Results always show a **likely range**, not just an average. "+0.15R, but anywhere from −0.05R to +0.35R" tells us whether it could just be luck.

3 Clear the pass bar (it gets stricter the more we try)

- Basic bar: at least +0.10R per trade after costs, profitable in both halves of the data, and enough trades (100+, or 50+ for daily strategies).
- Strategies that win often with a far-away emergency stop (like Daily Systems) are judged differently: the likely range must be above zero in both halves, and they must make at least £1.20 for every £1 lost (profit factor 1.2).
- The more versions we try, the more likely one looks good by luck. So: up to 4 versions, the basic bar; 5–20 versions, the whole likely range must be above zero; more than 20, it needs a second batch of unseen data.
- It must still work if the settings are nudged by 20% and if costs double. Working on a similar market is a bonus; if it doesn't, that's a warning that needs a good reason, not an automatic no.

4 Check it fits the portfolio

- It should not win and lose on the same days as the bots already running.
- We simulate thousands of possible futures for the whole account to check the prop firm's daily loss and drawdown limits stay safe.
- Each bot gets a fixed share of the account's risk.

5 Confirm it in cTrader

- Claude builds the bot from the frozen rules. Vanessa runs a tick backtest on the prop firm's own data.
- Claude compares it trade by trade with the earlier test. Any difference is explained before it goes live.

6 Go live at half size

- The first 30 trades run at half the planned risk. If they behave as the backtest expected, the bot moves up to full risk. (This replaces a separate paper-trading period, so it costs no extra time.)

7 Monthly review together

- At each month end, Vanessa sends the cTrader History for each bot; Claude compares it with the backtest: trades, win rate, average result, slippage, drawdown, worst day.
- **Switch-off rules** (written into each bot's strategy file): pause a bot if its last 50 trades are worse than the backtest's likely range, or if its drawdown is 1.5 times bigger than the worst the backtest showed. A paused bot is re-tested before it restarts.

8 Scale up when income allows

- A VPS (a small always-on computer in the cloud, about £15–30 a month) so bots never depend on a laptop.
- More prop firm accounts running the same proven bots, after checking each firm's rules on copy trading and the maximum total account size allowed.

Claude's checklist before reporting any result

Question	Why it matters
Could the result come from an unrealistic fill?	Same-candle fills made two strategies look far better than they were.
Were real costs and the firm's spreads used?	Small edges disappear after costs.
Was the hidden data really kept hidden?	Choosing settings after seeing it turns a test into wishful thinking.
How many versions were tried?	Try enough versions and one always looks good by chance.
Is the profit spread across years and markets?	Profit from one year or one trend (like gold 2021–26) is not an edge.

Does it overlap a live bot?	Two bots doing the same thing double the risk, not the income.

The bigger plan

Stage	What
1. Now	A portfolio of prop firm bots giving an income.
2. Next	Learn to scalp futures, about 2 hours a day around the 14:30 UK US market open.
3. Then	A property portfolio with rental and holiday-let income.
4. Alongside	More swing trading strategies.

Live bots on 14 October 2026: NAS100 "Add to Winner with Ladder" and Daily Systems (US500, US100, US30, GER40, gold). The detailed technical version of this process is research/QUANT_PROCESS.md.